

EABL FY21 Earnings Note

EABL's profitability remained relatively flat during the period. Net revenue edged up 14.7% y/y to KES 85.96B, above our forecast of KES 77.94B, mainly driven by growth in sales across its markets. Net sales in Kenya, Uganda, and Tanzania were up 10%, 33%, and 15% y/y respectively. While PAT remained relatively flat, EPS increased 6.6% y/y to KES 5.51 as a result of EABL increasing its stake in Serengeti Breweries Limited which led to an increased benefit to shareholders.

EABL's Board of Directors did not recommend the payment of dividends as they sought to conserve cash.

30th July 2021

Current price: 179.50

Target price: KES 205.21

Upside: 14.3%

52 Week Low: KES 148.25

52 Week High: KES 193.75

Key highlights

- **14.7% increase in net revenue driven by 13% increase in volume:** This was mainly driven by the significant growth in Uganda despite the restrictions put in place to curb the spread of COVID-19 virus. This is due to innovations, increased capacity expansion in the country, and increased market share. Sales in Uganda grew 33%, 15% in Tanzania, and 10% in Kenya.
- **Volume growth driven by growth in spirits:** During the period under review, spirits grew 23% y/y, while premium brands grew 21%. We view this as a positive development for the group. If this trend continues, the groups margins are likely to improve.
- **Gross profit up 13.3% y/y to KES 37.4 Billion while gross profit margin declines:** The gross profit margin dipped marginally to 43.5% (FY20: 44.0%) as cost of sales grew at a faster rate than net revenue. The gross profit margin dipped marginally to 43.5% (FY20: 44.0%).

Outlook

We expect to revise our revenue and costs forecasts upwards. The lock down affected EABL's FY21 earnings and as the economy slowly improves, we expect to see volumes increase. In Kenya, the easing of restrictions is likely to drive volume growth.

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Table I : Financial Statement Summary

Income Statement(KES Millions)	30-Jun-21	30-Jun-20	% change
Net revenue	85,962	74,916	14.7%
Cost of sales	(48,548)	(41,896)	15.9%
Gross profit	**37,414**	**33,020**	13.3%
Selling and distribution costs	(7,362)	(6,591)	11.7%
Administrative costs	(9,320)	(8,565)	8.8%
Other costs and expenses	(9,874)	(7,209)	37.0%
Profit before tax	**10,858**	**10,655**	1.9%
Income tax expense	(3,896)	(3,634)	7.2%
Profit after tax	**6,962**	**7,021**	-0.8%
Other comprehensive income	210	658	-68.1%
Total comprehensive income	**7,172**	**7,679**	**-6.6%**
Basic EPS	**5.51**	**5.17**	**6.6%**

Balance Sheet (KES Millions)	30-Jun-21	30-Jun-20	% change
Current assets	34,092	25,968	31.3%
Non-current assets	66,024	62,690	5.3%
Total assets	**100,116**	**88,658**	**12.9%**
Current liabilities	39,702	31,044	27.9%
Non-current liabilities	45,562	43,621	4.4%
Total liabilies	**85,264**	**74,665**	**14.2%**
Total Equity	**14,852**	**13,993**	**6.1%**

Source: Company filings, AIB-AXYS



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